

Palantir Technologies Inc.

PLTR NYSE

Hold	\$124.53 ▲ 0.81%	12M Price Target \$135.00	52-Week Range \$106.37 – \$207.52	Market Cap \$298.53B
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PLTR: Earnings Setup Tense as French Deal Slips Away

WHAT HAPPENED

- Quiet tape today (only 5.6M shares vs 43M yesterday) — that's the market holding its breath before Aug 3 earnings. The 6% drop on Monday after Sunday's pop tells you positioning is jumpy and nobody wants to be a hero into the print.
- France news matters more than it looks: ChapsVision (a French competitor) is replacing PLTR at a French government agency. That's a small dollar hit but a big narrative crack — "sovereign AI" is becoming a real headwind in Europe, where governments increasingly want homegrown alternatives to American software.

WHY IT MATTERS

Here's the setup: PLTR trades at roughly 200x forward earnings — meaning you're paying \$200 today for every \$1 the company will earn next year. That only works if growth stays explosive AND the political tailwind holds. The French exit is a warning shot — if other EU countries follow the "sovereign AI" playbook (Germany and Italy are both making noises about this), Palantir's international commercial story gets tougher just as investors are pricing in global expansion. The offsetting force is Washington: the Trump administration has been aggressively pushing AI into defense, immigration enforcement (ICE), and federal agencies — and PLTR is the incumbent beneficiary. Net-net, the US government pipeline is a rocket, but the "we'll conquer Europe too" narrative is starting to wobble.

POLICY & POLITICAL WATCH

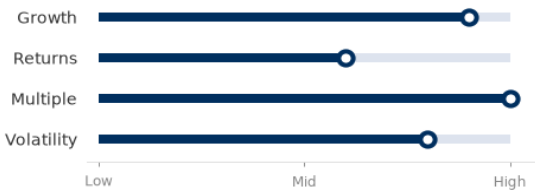
The big one to watch: the FY2027 defense appropriations bill working through Congress right now includes expanded funding for AI-enabled command and control systems (JADC2, Maven successors) — PLTR is embedded in nearly all of these programs, so passage is a direct tailwind worth potentially billions in contract flow. On the flip side, the EU's AI Act enforcement kicks into higher gear this fall and the "sovereign tech" push in France/Germany is a real revenue risk — this is showing up already with the ChapsVision replacement. Also worth watching: the administration's push to modernize federal IT (executive order signed in Q1) is steering agency budgets toward Palantir's Foundry/AIP platforms, but any government shutdown fight in September could delay contract awards.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$124.53
12M Price Target	\$135.00
Upside / (Downside)	+8.4%
Market Cap	\$298.53B
FY2026E Revenue	\$4,250M
FY2027E Revenue	\$5,600M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	200.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$145.00	\$128.00	\$108.00
6 Months	\$165.00	\$135.00	\$100.00
1 Year	\$190.00	\$140.00	\$90.00
2 Years	\$240.00	\$160.00	\$80.00
5 Years	\$350.00	\$210.00	\$70.00
10 Years	\$600.00	\$300.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.6% today) is running on geopolitical tension and continued fossil fuel policy support from the administration. Healthcare (+5% over 5 days) is quietly outperforming as defensive money rotates in ahead of earnings season uncertainty.

COOLING OFF: Communication Services (-0.4%) and Utilities are lagging — money is leaving the "boring bond proxy" trade as rates stay higher for longer.

ROTATION WATCH: Notice tech isn't in the top movers today — that's telling. Money is rotating OUT of high-multiple growth into energy and defensives ahead of the earnings gauntlet (PLTR, MSFT, AMZN all report in the next 10 days). This is a "de-risking" tape, not a "buy the dip" tape.

RELATED PLAY: If you like the AI-for-government thesis but hate the PLTR valuation, look at defense primes with AI exposure — LMT and RTX are building competing offerings and trade at ~20x earnings versus PLTR's 200x. Data center REITs (DLR, EQIX) also benefit if federal AI spending accelerates.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Winning the enterprise AI narrative with Copilot monetization actually showing up in numbers — the 24/7 Wall St piece today is exactly the "MSFT vs PLTR" debate playing out in real time.
- NVDA (Nvidia): Still the picks-and-shovels play — any acceleration in federal AI spending flows through Nvidia chips before it hits Palantir's platform.

PLTR CONTEXT: PLTR is LAGGING its AI peer group meaningfully — sitting at 18% of its 52-week range while MSFT and NVDA are near highs. That tells you the market is skeptical about the Aug 3 print. If earnings surprise to the upside, the catch-up trade could be violent; if not, this underperformance continues.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$108-115 on post-earnings pullback

Time Horizon: 12-24 months

Thesis Invalidation: Government revenue growth decelerates below 40% YoY or major DoD contract loss

Hedging: Buy protective puts into Aug 3 earnings or pair with short position in higher-multiple AI peer